

TASK 5: AZURE PRICING AND COST MANAGEMENT

Chapter 10

Step 1: Pricing Factors Table

Factor	Explanation
Resource size	Larger resources (e.g., bigger VMs) cost more due to higher CPU, RAM, and storage usage.
Resource type	Different services (VMs, databases, storage) have different pricing models.
Usage duration	The longer a resource runs, the more it costs (pay-as-you-go).
Location	Prices vary by region (e.g., South Africa North vs other regions).
Bandwidth	Data transfer (especially outbound) can increase costs.

Step 2: Pricing Calculator

-Virtual Machines

The screenshot displays the Azure Pricing Calculator interface. At the top, the Microsoft Azure logo and navigation menu are visible. The main heading is "Pricing calculator" with the tagline "Estimate better. Build smarter. Decide faster". A blue button labeled "Get started with Azure" is present. Below the heading, there's a section for "Products" with tabs for "Estimate templates", "Saved estimates", and "FAQs". A blue bar prompts the user to "Select a product to include it in your estimate." Below this, a search bar is labeled "Search products". On the left, a "Popular" sidebar lists "Compute", "Networking", and "Storage". The main content area features three product cards: "Virtual Machines" (Provision Windows and Linux VMs in seconds), "Storage Accounts" (Durable, highly available, and massively scalable cloud storage), and "Azure SQL Database" (Build apps that scale with managed and intelligent SQL database in the cloud). Each card has an "Add to estimate" button. A notification banner at the bottom right states "Virtual Machines added. View". A "Chat with Sales" button is also visible.

Virtual Machines

 Give feedback

Get \$200 credit plus free monthly amounts of popular services for 12 months—including Virtual Machines. [See free amounts](#) 

Region: South Africa North 	Operating system: Windows 	Type: (OS Only) 	Tier: Standard 
Category: All 	Instance Series: All 	INSTANCE: (Need help finding the right VM?)  B1s: 1 Cores, 1 GB RAM, 4 GB Temporary storage, \$0.016/hour 	
1  Virtual machines		730 Hours 	

Compute (B1s)

3 year reserved option is not available for your instance selection.

☒ Pay as you go

Savings plan

- ☐ 1 year savings plan (~24% discount)
- ☐ 3 year savings plan (~45% discount)

Reservations

- ☐ 1 year reserved (~42% discount)
- ☐ 3 year reserved

\$9.93

Average per month
(\$0.00 charged upfront)

OS (Windows)

- ☒ License included
- ☐ Azure Hybrid Benefit 

\$1.46

Average per month
(\$0.00 charged upfront)

\$11.39

Average per month
(\$0.00 charged upfront)

 Chat with Sales

- Storage account.

Storage Accounts

 Give feedback

Get \$200 credit plus free monthly amounts of popular services for 12 months—including Block Blob Storage, Standard tier. [See free amounts](#)

Region:
East US

Type:
Block Blob Storage

Performance:
Standard

Storage Account Type:
General Purpose V2

File Structure:
Flat Namespace

Access tier:
Hot

Redundancy: ⓘ
LRS

Capacity

1000 GB

Savings Options

Save up to 38% on pay-as-you-go prices with 1-year or 3-year Azure Storage Reserved Capacity. [Learn more about Azure Storage Reserved Capacity pricing.](#)

Chat with Sales

Capacity

1000 GB

Savings Options

Save up to 38% on pay-as-you-go prices with 1-year or 3-year Azure Storage Reserved Capacity. [Learn more about Azure Storage Reserved Capacity pricing.](#)

Pay as you go

☒ Pay as you go

Reservations ⓘ

☐ 1 year reserved

☐ 3 year reserved

\$20.80

Average per month

(\$0.00 charged upfront)

= \$20.80

Average per month

(\$0.00 charged upfront)

The Azure Pricing Calculator was used to estimate the monthly cost of the deployed resources, including a virtual machine and storage account. This helps BCX plan budgets and avoid unexpected expenses by understanding expected cloud costs before deployment.

Step 3: Cost Management Explanation

Azure Cost Management helps BCX monitor, analyse, and control cloud spending. It provides detailed cost analysis, allows budget creation, sends alerts when spending exceeds limits, and generates reports for financial tracking. This ensures that cloud resources are used efficiently and within budget.

Step 4: TCO Calculator

The Total Cost of Ownership (TCO) Calculator helps BCX compare the cost of running infrastructure on-premises versus in Azure. It estimates savings over time by considering hardware, maintenance, electricity, and operational costs, helping organisations make informed migration decisions.

Step 5: Cost Optimisation

BCX can reduce cloud costs by:

- Choosing the correct VM size based on workload requirements
- Shutting down unused virtual machines
- Using appropriate storage tiers (Hot, Cool, Archive)
- Monitoring underutilised resources using Azure Advisor
- Applying tags to track and control spending

Step 6: Quotas & Spending Limits

Quotas are limits placed on Azure resources to prevent overuse. They help control how many resources can be deployed. A spending limit restricts how much money can be spent on a subscription, preventing unexpected costs. Without proper limits, uncontrolled usage can lead to excessive cloud expenses.